

AQA

GCSE

ECONOMICS

8136/1

Paper 1 How Markets Work

Mark scheme

Predicted Paper — Hard

Version: 1.0 Final

Mark schemes are prepared by the Lead Assessment Writer and considered, together with the relevant questions, by a panel of subject teachers.

This mark scheme is for a predicted paper in the style of AQA GCSE Economics 8136/1 (How Markets Work). The format, command words, mark allocation and Assessment Objectives mirror the June 2024 paper.

It must be stressed that a mark scheme is a working document. Indicative content is provided as a guide for examiners. It is not intended to be exhaustive and other valid points should be credited. Students do not have to cover all of the points mentioned in the Indicative content to reach the highest level of the mark scheme.

An answer which contains nothing of relevance to the question must be awarded no marks.

KEY LIST

01	B – To allocate scarce resources to meet needs and wants	02	C – Labour
03	C – the benefits given up from not renovating the schools	04	C – Greater dependence on international trade
05	C – Country P is most likely to be a less developed economy	06	B – £23 600
07	C – The firm hides important safety information from buyers	08	B – Demand increases
09	C – Firm C	10	D – +30%

Qu	Part	Marking guidance	Total marks
11		State two possible differences between gross pay and net pay.	2
		AO1 = 2 1 mark for each correct difference (max 2). Possible answers: • gross pay is total earnings before deductions; net pay is the amount received after deductions • gross pay is shown as the headline salary/wage; net pay is the 'take-home pay' • gross pay includes income tax and National Insurance; net pay has these (and other deductions such as pension and student loan) removed <i>Note: This indicative content is not exhaustive, other creditworthy responses should be awarded marks as appropriate.</i>	

Qu	Part	Marking guidance	Total marks												
12		Explain one impact of an increase in the number of firms in a market on the prices charged to consumers.	2												
		AO1 = 2 <table><tr><th>Level</th><th>Marks</th><th>Description</th></tr><tr><td>2</td><td>2</td><td>Possible impact on prices explained.</td></tr><tr><td>1</td><td>1</td><td>Possible impact on prices identified.</td></tr><tr><td></td><td>0</td><td>Nothing written worthy of credit.</td></tr></table> Possible answers: • greater competition forces firms to lower prices to attract customers • individual firms have less market power, reducing their ability to charge above costs • firms may need to be more efficient to survive, allowing lower prices • in the short run, prices may fall but choice may also rise <i>Note: This indicative content is not exhaustive, other creditworthy responses should be awarded marks as appropriate.</i>	Level	Marks	Description	2	2	Possible impact on prices explained.	1	1	Possible impact on prices identified.		0	Nothing written worthy of credit.	
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Qu	Part	Marking guidance	Total marks												
13		Explain why a stock exchange is an example of a market.	2												
		AO1 = 2 <table><tr><th>Level</th><th>Marks</th><th>Description</th></tr><tr><td>2</td><td>2</td><td>Reason explained.</td></tr><tr><td>1</td><td>1</td><td>Reason identified.</td></tr><tr><td></td><td>0</td><td>Nothing written worthy of credit.</td></tr></table> Possible answers: • buyers (investors) and sellers (shareholders/firms) come into contact • there is demand for shares (from investors) and supply of shares (from sellers/ issuers) • prices are agreed between buyers and sellers, and change according to supply and demand <i>Note: This indicative content is not exhaustive, other creditworthy responses should be awarded marks as appropriate.</i>	Level	Marks	Description	2	2	Reason explained.	1	1	Reason identified.		0	Nothing written worthy of credit.	
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Qu	Part	Marking guidance	Total marks
14	1	Calculate the total profit earned by the firm from selling 4 200 T-shirts.	2
		AO2 = 2 • Total revenue = $£7.50 \times 4\,200 = £31\,500$ • Total variable costs = $£3.20 \times 4\,200 = £13\,440$ • Total costs = $£5\,460 + £13\,440 = £18\,900$ • Total profit = $£31\,500 - £18\,900 = \textbf{£12\,600}$ 1 mark for correctly calculating total costs or total revenue if final answer incorrect. 1 mark for correct method with correct figures but incorrect final answer. 2 marks for a correct answer with no working shown.	

Qu	Part	Marking guidance	Total marks												
14	2	Explain one way the clothing firm could try to increase its profit without increasing the selling price.	2												
		AO1 = 2 <table><tr><th>Level</th><th>Marks</th><th>Description</th></tr><tr><td>2</td><td>2</td><td>Possible way explained.</td></tr><tr><td>1</td><td>1</td><td>Possible way identified.</td></tr><tr><td></td><td>0</td><td>Nothing written worthy of credit.</td></tr></table> Possible answers: • reduce variable costs (e.g. cheaper fabrics, bulk purchasing) • reduce fixed costs (e.g. move to a cheaper factory / renegotiate rent) • invest in more productive machinery to lower unit costs • increase sales volume through advertising / new markets → spread fixed costs • reduce waste / improve efficiency through training <i>Note: This indicative content is not exhaustive, other creditworthy responses should be awarded marks as appropriate.</i>		Level	Marks	Description	2	2	Possible way explained.	1	1	Possible way identified.		0	Nothing written worthy of credit.
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Qu	Part	Marking guidance	Total marks															
15		Analyse the possible impact of the fall in global oil prices shown in Figure 1 upon other markets such as airlines and road haulage.	6															
		AO2 = 2, AO3 = 4 <table><tr><th>Level</th><th>Marks</th><th>Description</th></tr><tr><td>3</td><td>5–6</td><td>A full analysis of the economic evidence, a well-developed and logical chain of reasoning.</td></tr><tr><td>2</td><td>3–4</td><td>An incomplete analysis of the economic evidence, starts to develop a chain of reasoning. Good application of knowledge and understanding of concepts/issues mostly relevant to the context.</td></tr><tr><td>1</td><td>1–2</td><td>Analysis of discrete points of the economic evidence with no chain of reasoning attempted. Basic application of knowledge and understanding of concepts/issues with limited relevance to the context.</td></tr><tr><td></td><td>0</td><td>Nothing written worthy of credit.</td></tr></table> Indicative content: • Airlines: fuel is a large proportion of airline costs; lower oil prices reduce production costs • airlines may pass cost savings on as lower ticket prices → rise in demand for air travel • airlines may increase profit margins instead of cutting prices • Road haulage: diesel is a major variable cost; lower prices reduce costs per mile • hauliers may cut freight rates → cheaper delivery costs for retailers → possible lower shop prices • Wider economy: lower transport costs may reduce inflation; may reduce incentives to switch to electric vehicles • use of data: oil fell from \$120 to \$75, a fall of about 37.5% — a very significant cost reduction <i>Note: This indicative content is not exhaustive, other creditworthy responses should be awarded marks as appropriate.</i>		Level	Marks	Description	3	5–6	A full analysis of the economic evidence, a well-developed and logical chain of reasoning.	2	3–4	An incomplete analysis of the economic evidence, starts to develop a chain of reasoning. Good application of knowledge and understanding of concepts/issues mostly relevant to the context.	1	1–2	Analysis of discrete points of the economic evidence with no chain of reasoning attempted. Basic application of knowledge and understanding of concepts/issues with limited relevance to the context.		0	Nothing written worthy of credit.
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Qu	Part	Marking guidance	Total marks
16		State two features of a market operating under monopolistic competition .	2
		AO1 = 2 1 mark for each feature (max 2). Possible answers: • a large number of relatively small firms • product differentiation (slightly different products, e.g. branding) • low barriers to entry and exit • some degree of price-setting power for each firm (not a pure price taker) • non-price competition (advertising, branding) <i>Note: This indicative content is not exhaustive, other creditworthy responses should be awarded marks as appropriate.</i>	

Qu	Part	Marking guidance	Total marks												
17		Explain one possible reason why professional footballers in the Premier League tend to earn much higher salaries than nurses in the NHS.	2												
		AO1 = 2 <table><tr><th>Level</th><th>Marks</th><th>Description</th></tr><tr><td>2</td><td>2</td><td>Possible reason explained.</td></tr><tr><td>1</td><td>1</td><td>Possible reason identified.</td></tr><tr><td></td><td>0</td><td>Nothing written worthy of credit.</td></tr></table> Possible answers: • supply of elite football talent is extremely limited (rare natural ability) • demand for top football talent from clubs is very high (global TV revenue) • clubs compete internationally for the best players → bidding up wages • nurses are in plentiful supply (more trained each year) → downward pressure on pay • NHS is a monopsony employer, limiting the ability of nurses to bargain for higher pay <i>Note: This indicative content is not exhaustive, other creditworthy responses should be awarded marks as appropriate.</i>		Level	Marks	Description	2	2	Possible reason explained.	1	1	Possible reason identified.		0	Nothing written worthy of credit.
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Qu	Part	Marking guidance	Total marks												
18		Explain one possible reason why the demand for petrol in the short run is likely to be price inelastic .	2												
		AO1 = 2 <table><tr><th>Level</th><th>Marks</th><th>Description</th></tr><tr><td>2</td><td>2</td><td>Possible reason explained.</td></tr><tr><td>1</td><td>1</td><td>Possible reason identified.</td></tr><tr><td></td><td>0</td><td>Nothing written worthy of credit.</td></tr></table> Possible answers: • petrol is a necessity for drivers commuting to work / doing the school run • few close substitutes in the short run — drivers cannot switch cars overnight • addictive / habitual nature of car use • public transport alternatives may not be practical for many drivers in the short run • a clear definition of 'price inelastic' without context = 1 mark <i>Note: This indicative content is not exhaustive, other creditworthy responses should be awarded marks as appropriate.</i>		Level	Marks	Description	2	2	Possible reason explained.	1	1	Possible reason identified.		0	Nothing written worthy of credit.
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Qu	Part	Marking guidance	Total marks
19	1	Using Table 3 , calculate the weekly productivity of the workforce of Priya's Pottery. Give your answer to the nearest whole number.	2
		AO2 = 2 • $260 \div 8 = 32.5$ (1) vases per worker per week • To nearest whole number = 33 (1) vases per worker per week 2 marks for correct answer to nearest whole number with no working shown. 1 mark for correct answer not rounded to the nearest whole number.	

Qu	Part	Marking guidance	Total marks												
19	2	Explain one benefit of increased productivity to a business such as Priya's Pottery.	2												
		AO1 = 2 <table><tr><th>Level</th><th>Marks</th><th>Description</th></tr><tr><td>2</td><td>2</td><td>Possible benefit explained.</td></tr><tr><td>1</td><td>1</td><td>Possible benefit identified.</td></tr><tr><td></td><td>0</td><td>Nothing written worthy of credit.</td></tr></table> Possible answers: • lower average cost per vase → higher profit margin • higher output without hiring more workers → can meet rising demand • greater competitiveness against rival potteries → more orders • increased profit can be reinvested (new kiln, training) • ability to lower prices and still make a profit → larger market share <i>Note: This indicative content is not exhaustive, other creditworthy responses should be awarded marks as appropriate.</i>	Level	Marks	Description	2	2	Possible benefit explained.	1	1	Possible benefit identified.		0	Nothing written worthy of credit.	
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Qu	Part	Marking guidance	Total marks
20		Draw and label demand and supply curves on the graph from the table. Clearly identify the equilibrium price and quantity.	3
		AO2 = 3 • 1 mark for correct drawing and labelling of the demand curve. • 1 mark for correct drawing and labelling of the supply curve. • 1 mark for correctly identifying the equilibrium price £30 and equilibrium quantity 18 units.	

Qu	Part	Marking guidance	Total marks															
21		Using Figure 2 and Table 4 , assess whether the benefits of growth for a business such as Mia's Mechanics exceed the costs.	9															
		AO2 = 3, AO3 = 6																
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		Indicative content: • Benefits (economies of scale): reduced long-run average cost per car serviced • purchasing economies — bulk discounts from parts suppliers (mentioned in Figure 2) • technical economies — specialist diagnostic equipment only affordable at larger scale • managerial and financial economies as the business grows • Data: AC at 200 = £150; AC at 400 = £130; AC at 600 = £110 per car → clear fall (economies of scale) • Costs (diseconomies of scale): communication problems and slow decision-making across three sites (Figure 2) • coordination costs rise as the business grows beyond a certain size • possible fall in motivation / consistency of service quality • Data: AC at 800 = £130 per car → rise from £110 (diseconomies setting in between 600 and 800) • Evaluation: benefits exceed costs up to about 600 cars per month; beyond that, growth harms the business; optimum scale seems to be around 600 <i>Note: This indicative content is not exhaustive, other creditworthy responses should be awarded marks as appropriate.</i>																

Qu	Part	Marking guidance	Total marks												
22		Define the term 'market failure'.	2												
		AO1 = 2 <table><tr><th>Level</th><th>Marks</th><th>Description</th></tr><tr><td>2</td><td>2</td><td>Complete definition of market failure.</td></tr><tr><td>1</td><td>1</td><td>Partial definition of market failure.</td></tr><tr><td></td><td>0</td><td>Nothing written worthy of credit.</td></tr></table> Possible answers: • a situation where the free market fails to allocate resources efficiently, leading to loss of welfare (2 marks) • when the market, on its own, produces an outcome that is not in society's best interest — for example, too much of a harmful good or too little of a beneficial one (2 marks) • when markets do not work well (1 mark) <i>Note: This indicative content is not exhaustive, other creditworthy responses should be awarded marks as appropriate.</i>	Level	Marks	Description	2	2	Complete definition of market failure.	1	1	Partial definition of market failure.		0	Nothing written worthy of credit.	
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Qu	Part	Marking guidance	Total marks
23		Calculate the percentage change in the UK electric vehicle share of new car sales between 2018 and 2022. Give your answer to the nearest whole %.	3
		AO2 = 3 • 2018 $\approx$ 1.6%; 2022 $\approx$ 16.6% • $(16.6 - 1.6) \div 1.6 \times 100 = 937.5\% \approx$ 938% Accept any answer between 900% and 975%, using values from acceptable range. 1 mark for correct method but wrong answer. 1 mark for correctly identifying values from the graph for both years within acceptable ranges. 2 marks if not rounded to nearest whole %. 3 marks for a correct answer with no working shown.	

Qu	Part	Marking guidance	Total marks															
24		Analyse the possible positive externalities that may result from an increase in the number of electric vehicles on UK roads.	6															
		AO2 = 6 <table><tr><th>Level</th><th>Marks</th><th>Description</th></tr><tr><td>3</td><td>5–6</td><td>A full analysis of the economic evidence, a well-developed and logical chain of reasoning.</td></tr><tr><td>2</td><td>3–4</td><td>An incomplete analysis of the economic evidence, starts to develop a chain of reasoning. Good application of knowledge and understanding of concepts/issues mostly relevant to the context.</td></tr><tr><td>1</td><td>1–2</td><td>Analysis of discrete points of the economic evidence with no chain of reasoning attempted. Basic application of knowledge and understanding of concepts/issues with limited relevance to the context.</td></tr><tr><td></td><td>0</td><td>Nothing written worthy of credit.</td></tr></table> Possible answers: • reduced local air pollution — better health outcomes, reduced NHS costs • lower carbon emissions — slows climate change, benefits future generations • quieter roads — reduced noise pollution in urban areas • reduced dependence on imported oil — greater energy security • growth in UK battery manufacturing and associated high-skilled jobs • development of a charging-point network benefits all EV drivers, not just the buyer • demonstration effect — more EVs on the road encourages others to buy <i>Note: This indicative content is not exhaustive, other creditworthy responses should be awarded marks as appropriate.</i>		Level	Marks	Description	3	5–6	A full analysis of the economic evidence, a well-developed and logical chain of reasoning.	2	3–4	An incomplete analysis of the economic evidence, starts to develop a chain of reasoning. Good application of knowledge and understanding of concepts/issues mostly relevant to the context.	1	1–2	Analysis of discrete points of the economic evidence with no chain of reasoning attempted. Basic application of knowledge and understanding of concepts/issues with limited relevance to the context.		0	Nothing written worthy of credit.
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25		Explain two possible disadvantages of the UK remaining heavily reliant on petrol and diesel vehicles.	6															
		AO2 = 2, AO3 = 4 Apply the following mark scheme for each disadvantage. <table><tr><th>Level</th><th>Marks</th><th>Description</th></tr><tr><td>3</td><td>3</td><td>A full and precise explanation applying economic concepts and issues.</td></tr><tr><td>2</td><td>2</td><td>A partial explanation applying economic concepts and issues but lacking detail.</td></tr><tr><td>1</td><td>1</td><td>Fragmented points made.</td></tr><tr><td></td><td>0</td><td>Nothing written worthy of credit.</td></tr></table> Possible answers: • high levels of urban air pollution (NO₂, particulates) → negative externalities on public health and the NHS • continued high carbon emissions → increased long-run costs of climate change • heavy reliance on imported oil → vulnerability to global oil price shocks and geopolitical risk • UK misses out on jobs and growth in the fast-expanding global EV/battery supply chain • failure to meet 2035 targets → potential reputational damage and future regulatory costs • persistent negative externalities justify government intervention (taxation) <i>Note: This indicative content is not exhaustive, other creditworthy responses should be awarded marks as appropriate.</i>		Level	Marks	Description	3	3	A full and precise explanation applying economic concepts and issues.	2	2	A partial explanation applying economic concepts and issues but lacking detail.	1	1	Fragmented points made.		0	Nothing written worthy of credit.
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Qu	Part	Marking guidance	Total marks																					
26		Do you think the UK government should subsidise the purchase of new electric vehicles in the UK? Use Items A and B and your own economic knowledge to justify your view.	15																					
		AO2 = 5, AO3 = 10 <table><tr><th>Level</th><th>Marks</th><th>Description</th></tr><tr><td>5</td><td>13–15</td><td>A justified conclusion with sustained evaluation, coherent and relevant, with judgements fully supported by evidence. Analysis of a relevant selection of the economic evidence, with a well-developed logical chain of reasoning. Comprehensive application of knowledge and understanding of pertinent concepts/issues relevant to the context; effective use of specialist language maintained throughout.</td></tr><tr><td>4</td><td>10–12</td><td>A partially justified conclusion with an evaluation, mostly coherent and relevant; judgements may not be fully supported by evidence. Analysis of a relevant selection of the economic evidence; a logical chain of reasoning established but not fully developed. Strong application of knowledge and understanding of a broad range of concepts/issues relevant to the context; mostly effective use of specialist language throughout.</td></tr><tr><td>3</td><td>7–9</td><td>A partially justified conclusion with an evaluation, but not integrated in a coherent way; judgements are not fully supported by evidence. Analysis of a relevant selection of the economic evidence and starts to develop a chain of reasoning. Good application of knowledge and understanding of a broad range of concepts/issues relevant to the context; consistent use of specialist language but not always effective.</td></tr><tr><td>2</td><td>4–6</td><td>A basic conclusion is present based on simple evaluative judgements supported by little or no evidence. Analysis of a relevant selection of the economic evidence with no chain of reasoning attempted. Simple application of knowledge and understanding of a narrow range of concepts/issues relevant to the context; sporadic use of specialist language.</td></tr><tr><td>1</td><td>1–3</td><td>Evaluative judgements are simple with no conclusion present. Analysis of a limited selection of the economic evidence with no chain of reasoning attempted; selection of evidence may lack relevance. Basic application of knowledge and understanding of concepts/issues with limited relevance to the context; uses non-specialist language.</td></tr><tr><td></td><td>0</td><td>Nothing written worthy of credit.</td></tr></table> Indicative content: Yes (in favour of subsidy): • EVs generate positive externalities (cleaner air, lower emissions) that the private market will under-produce without intervention • use of data: PED = −1.8 → highly price-sensitive, so subsidies should cause a large rise in demand • supports the 2035 petrol/diesel ban target (Item A)		Level	Marks	Description	5	13–15	A justified conclusion with sustained evaluation, coherent and relevant, with judgements fully supported by evidence. Analysis of a relevant selection of the economic evidence, with a well-developed logical chain of reasoning. Comprehensive application of knowledge and understanding of pertinent concepts/issues relevant to the context; effective use of specialist language maintained throughout.	4	10–12	A partially justified conclusion with an evaluation, mostly coherent and relevant; judgements may not be fully supported by evidence. Analysis of a relevant selection of the economic evidence; a logical chain of reasoning established but not fully developed. Strong application of knowledge and understanding of a broad range of concepts/issues relevant to the context; mostly effective use of specialist language throughout.	3	7–9	A partially justified conclusion with an evaluation, but not integrated in a coherent way; judgements are not fully supported by evidence. Analysis of a relevant selection of the economic evidence and starts to develop a chain of reasoning. Good application of knowledge and understanding of a broad range of concepts/issues relevant to the context; consistent use of specialist language but not always effective.	2	4–6	A basic conclusion is present based on simple evaluative judgements supported by little or no evidence. Analysis of a relevant selection of the economic evidence with no chain of reasoning attempted. Simple application of knowledge and understanding of a narrow range of concepts/issues relevant to the context; sporadic use of specialist language.	1	1–3	Evaluative judgements are simple with no conclusion present. Analysis of a limited selection of the economic evidence with no chain of reasoning attempted; selection of evidence may lack relevance. Basic application of knowledge and understanding of concepts/issues with limited relevance to the context; uses non-specialist language.		0	Nothing written worthy of credit.
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- improves access for lower-income households who are currently priced out (Item B)
- stimulates UK battery manufacturing and charging-point investment

No (against subsidy):

- opportunity cost — money could be spent on the NHS, schools, or public transport (Item B)
- subsidies mostly benefit wealthier households who buy new cars (Item B)
- environmental problems with battery raw materials (lithium, cobalt) in producing countries
- subsidies may not work unless charging infrastructure is also expanded (Item A: 53 000 vs. 300 000 needed)
- could encourage over-reliance on imports from Chinese EV manufacturers

Overall judgement:

- depends on the size and targeting of the subsidy (e.g. means-tested, or for used EVs only)
- subsidy combined with charging-point investment is likely to be more effective than either alone
- trade-off between short-run cost to taxpayer and long-run environmental / economic gains

Note: This indicative content is not exhaustive, other creditworthy responses should be awarded marks as appropriate.